

Consumer Behaviour

Decision Making Guide

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Case Overview & Management Note

The case provided in this game is of a gaming developer who wants to enter the mobile gaming market. The company has experience with console gaming but is new to the mobile gaming market. The points to be emphasized in the case are:

- Mobile market growth
- Product has huge cost of marketing & development (high risk)
- The breakeven time is 5 years
- Network externality effect
- Consumer perspective

Market Research

The market research report provides an overview of the mobile gaming industry. The key factors to be noted in the market research report are divided into two parts i.e., revenue-making strategy and consumer preference.

Revenue-making strategy: The market report provides an idea about how huge is the mobile gaming industry by focusing on the following parameters:

- Revenue
- Gamers population
- Ad spends and type of ads (Static, banner, reward, interactive etc.)
- Revenue models (freemium, free & pay to play)

Consumer preference: The market report highlights what the consumer likes in particular by focusing on the below-mentioned parameters:

- Gamers' activities (where they spend most of their time, attracting consumers)
- NCCS data (demographics of the gamers)
- Cohort genre preference (out of 5 genres of action, strategy, casino, puzzle & racing)
- Reason to play games (gaming trigger graph)
- Where they download games (discovering channel graph)
- Snapshots on gender roles and specifics of preference

Target Market

The decisions on this page would be as follows:

Age

The participants here need to decide on the Age group, Metro/Non-metro/both, household & Gender. To decide participants can consider the following factors:

- The population of that age group
- Population division between Metro/Non-metro
- Paying capacity of that age group
- Gender Division, and preference from market Research
- Household population and their paying capacity (NCCS C/D/E denote mass market)

The above parameters will help them to decide their target group and revenue strategy. The strategy here can be of two types going for the mass market but paying customers will be low or going for a specific market where paying customers are high.

Language

It is always better to have more languages in the mobile game, which would make the proposition attractive to the consumer and would help them in understanding. The participant can select multiple languages and their population indication is provided in the graph. The participants can have a maximum of 4 languages in their game as the cost is tremendously high for increasing more languages. The general strategy will follow a mass market or specific approach.

Social Element

The social functionality to be included in the game is a maximum of three which will help consumers to connect. All different options have a varying effect on consumers, the meaning of each element is as under:

- Chat functionality: chat within games
- User trading: trade your coins or valuables in games with others
- Leader boards: to show the progress and competence
- Push notification feeds: to show the consumer that someone is missing them
- Community: to create a network that goes beyond the game
- Social media integration: to provide an option where sharing content across the internet is possible

The general strategy would involve using functionality which can help consumers connect socially and motivate them to do the same.

Lifestyle Element

There are different triggers due to which consumers start playing mobile games. The triggers are provided in the market research report graph, some of the triggers for playing the game are the aspiration to be someone else, do things which aren't possible in the real world or escape the current life. The participants are provided with 8 options where they can select what type of lifestyle they want the characters or UI/UX of the game to portray. The different options have varying effects on the consumers with a lifestyle like Nomadic, healthy, and active being the topmost preference.

Situational Element

The element helps to induce the effect of gamification, cultural significance, ease of use & continuing intention to play. The participants can select two options out of four to introduce in their game. The effect of each option is different and it will vary on target consumers. The general strategy would be to make users' life easy and motivate them to play as long as possible.

Product

The decisions on this page would be as follows:

Genre

The genre selected for the gaming product will depend on the following factors:

- Age group
- Cohort of gender
- Metro/non-metro
- Competition

Channel Mix

The participants here have to design the communication through which they will publicize their product and then publish that communication on different channels (maximum 3). The communication decision will have a major influence on lifestyle elements, situational elements and reasons for consumers playing the game (triggers). The channels for publishing will depend on the following factors:

- Age group
- Cohort of gender
- Time spend on a different platform

Publishing

The game once developed needs to be published from where the consumers can download it. The publishing can be done by the company itself or there are specific gaming publishing houses. If the participants decide to publish themselves the revenue, in that case, will not be divided but reach will be limited. If participants take the help of a publishing house then reach will be higher but this company will ask for revenue division from the game developers. To decide publishing house following factors are to be considered:

- Revenue sharing (increase breakeven time)
- Expertise in genre
- Image of the publisher
- Devices (IOS/Android, will provide an idea of the NCCS category)

Revenue Generation

The most efficient way to generate revenue from users is through advertisements for this particular product. The users will be highly attracted to free games followed by freemium (in-app purchases) followed by pay-to-play games. The chances of user spending capacity will be vice versa. In all three types, participants can decide to introduce different ads system such as:

- Banner Ads
- Rewarded Ads (as an option to get coin/life reward)
- Interstitial Ads (forceful ads after every level)
- Interactive Ads
- Ad networks (mixture of all ads listed above)

Ad networks help to increase the effectiveness of ads by managing all forms of advertisements and increasing the probability of showing ads. The graph provides the data of users on which type of ads they prefer in the games. The general strategy here would be to provide ads in case of mass targeting through free games, in freemium games, only rewards or Ads Network should be there to increase the effectiveness of purchases while for pay-to-play games the consumer finds ads irritating.

Report Analysis

The report provides the details of the following:

- Target group
- Languages
- Publishing
- Communication

All the above-selected decisions will have an impact on the market share achieved and paying consumers (revenue model, target group). The network effect will only work when the market share is greater than 7% and if not then it will create a negative impact. The total number of consumers as indicated in the market research report is 360 Mn.

Goal

To maximize the market share (greater than 7%) & paying consumers

Concepts

EKB Model, Black box model, Sociological elements